

Income Fund Fact Sheet

as at 31 July 2025

Annualised return
since inception

4.0%

as at 31/07/2025 after fees and before tax

Annualised return
5 year

2.7%

as at 31/07/2025 after fees and before tax

If you had invested \$10,000 at
inception, today it would be worth ...

\$17,422.01

inception date 18/04/2011

Minimum
investment

\$2,000 AND/OR \$100
lump sum per month

Suggested minimum
investment timeframe

4 years

Risk Indicator

Lower risk Higher risk

1 2 3 4 5 6 7

Potentially lower returns Potentially higher returns

About the fund

The Fisher Funds Income Fund aims to provide stable returns over the long term through access to a diverse range of fixed interest investments from around the world. To achieve this, our Investment Team carefully select investments issued by both government and non-government borrowers, with the aim of generating a steady stream of income over time.

Why choose this fund?

If you're a naturally cautious investor or prefer lower volatility of returns, or if you need to make withdrawals from your investment in the short to medium term, this fund could be a good choice for you.

Fund details

Fund inception	April 2011
PIE registered	Yes
Benchmark	S&P/NZX 2 Year Swap Index
Distributions	No - however, regular withdrawals are available
Annual fund charge*	1.01% p.a.
Minimum investment	\$2,000
Minimum withdrawal	\$100
Regular savings plan	Yes — min \$100 per month
Manager	Fisher Funds Management Ltd
Supervisor	Trustees Executors Ltd
Custodians	Trustees Executors Ltd, Apex Investment Administration (NZ) Ltd

* The annual fund charge is a reasonable estimate of future costs, expenses and fees which are likely to be charged in the future based on a combination of historic and forecast charges.

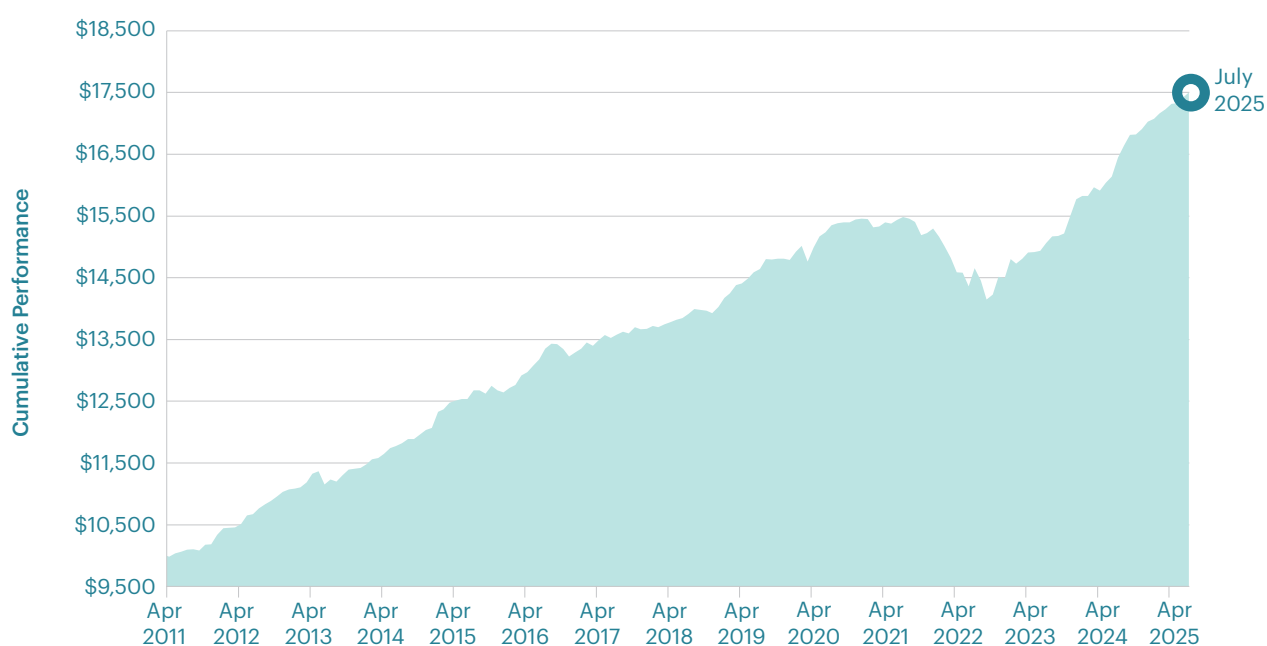
Fund performance

as at 31 July 2025 after fees and before tax

	1 year	3 years*	5 years*	7 years*	10 years*	Since inception*
Income Fund	6.5%	6.1%	2.7%	3.3%	3.3%	4.0%
S&P/NZX 2 Year Swap Index	5.3%	4.5%	2.1%	2.4%	2.7%	

* Fund performance figures have been annualised where the performance period is more than one year.

Growth of \$10,000 invested in the Fund since inception

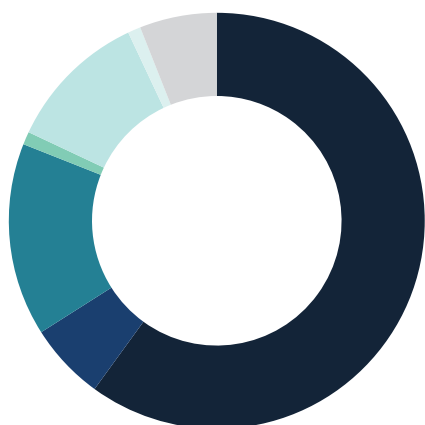


Sector split as at 31 July 2025



Financial	41%
Asset Backed Securities	15%
Mortgage Securities	3%
Communications	4%
Consumer, Non-Cyclical	5%
Consumer, Cyclical	4%
Other	17%
Cash	11%

Geographic split as at 31 July 2025



New Zealand	60%
United States	6%
Australia	15%
Switzerland	1%
Great Britain	11%
Ireland	1%
Other	6%

Fund highlights for July 2025

The Fund performed well in July, up +0.5%, ahead of the benchmark which was up +0.3%. The main highlights driving this were generally strong performance from corporate bonds, where credit spreads fell, driving bond prices higher.

In Macro news, the Reserve Bank held the official cash rate steady at 3.25% - the first 'no change' announcement since rate cuts began roughly one year ago. The bank pause is unlikely to last though, as the meeting for early August has the market pricing an over 90% chance of a cut to 3.0%. The driving factor was late July's weaker than anticipated inflation data, with annual changes now likely coming closer towards the RBNZ's 2% target sooner than previously thought.

Highlights for the month included exits from two corporate bond positions after strong returns over the last year. **Charter Communications** bonds benefitted from a reduction in borrowing as the company sought to acquire a competitor (Cox) earlier this year. This helped push up bond prices as investors became more confident in the financial strength of the business. As a result, Charter bonds returned over 7.5% during the last year, ahead of the benchmark (+5.2%). We exited the position after the strong run, selling at a yield of 4.7% which we think is relatively unattractive.

Grifols was an even stronger performer, up more than 9% year to date. At times this investment has been a detractor to the fund, as the road to pre-covid earnings was rockier than expected. 2025 proved to be worth the wait however as earnings accelerated on the back of strong cost controls. This provided a strong foundation for yields to fall from 6.75% to about 4.5%, driving bond prices higher and leading us to sell our bonds to reinvest elsewhere.

Our largest detractor for the month was **Gartner** where our 2028 bonds lagged the stronger performers above. Gartner provides research services globally, leveraging a unique dataset for industries that require hard data to make critical investment decisions. While the company is still seeing earnings growth, the market is beginning to worry about the impact that advanced AI models may have on their business. We're doing a deep dive to investigate whether this might impact their ability to repay their debts. This will help inform our positioning for Gartner and other AI-impacted issuers in the coming months.

Portfolio team



Quin Casey
Senior Portfolio Manager
(Head of Fixed Income)



Matt Logan
Portfolio Manager
- Credit



Luke O'Donovan
Senior Investment Analyst



Benjamin Wilton
Fixed Income Analyst



Got questions? We've got answers

Our team is available to tell you more and answer any questions you may have. Chat with an adviser online or call us on 0508 347 437.

For a copy of our product disclosure statement, visit our website fisherfunds.co.nz or phone 0508 347 437.

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